

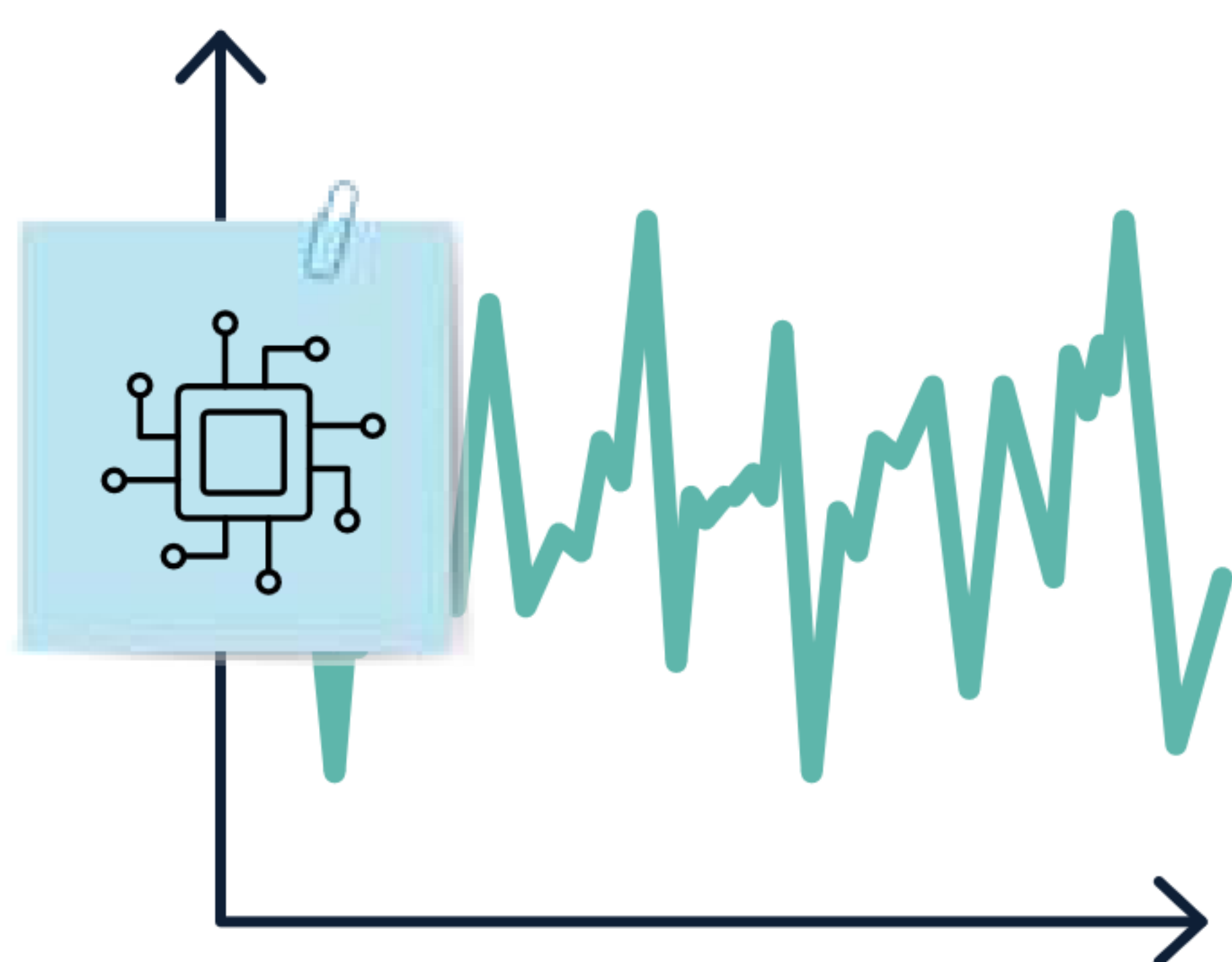
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9. Things to avoid!

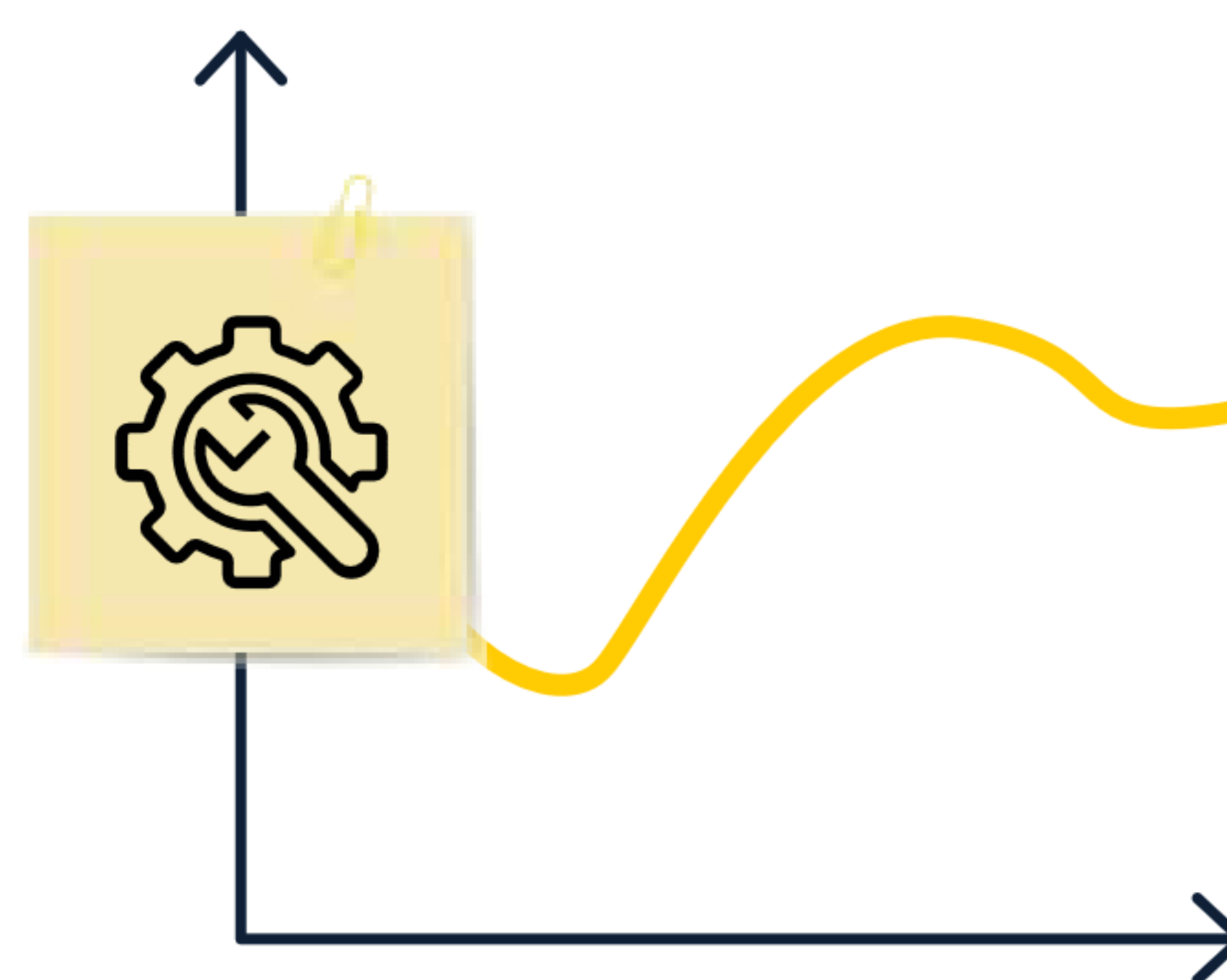
Now like every other investment, even in mutual funds, there are things you need to avoid:

a. Avoid Sectoral Funds

Just like seasons come and go, each sector in the market (think tech, energy, healthcare) has its own boom and bust periods.



Some sectors, like technology can be more volatile with shorter-term fluctuations.



While others, like utilities, tend to be less volatile but exhibit clearer cyclical patterns over longer periods.

But what adds an interesting layer is that each bull market is often led by a different sector. So, the sector that drives this bull market might be a sleepy tortoise in the next one.

▲ Dynamic Nature

▲ Risk

This dynamic nature of sectors makes investing in sectoral funds, which focus exclusively on one sector, a risky endeavor.

Such funds necessitate a deep understanding of the specific sector to navigate its unique challenges and opportunities effectively. Without this knowledge, investors face the potential for prolonged delays in returns, or underperformance compared to broader market indices like Nifty and Sensex.